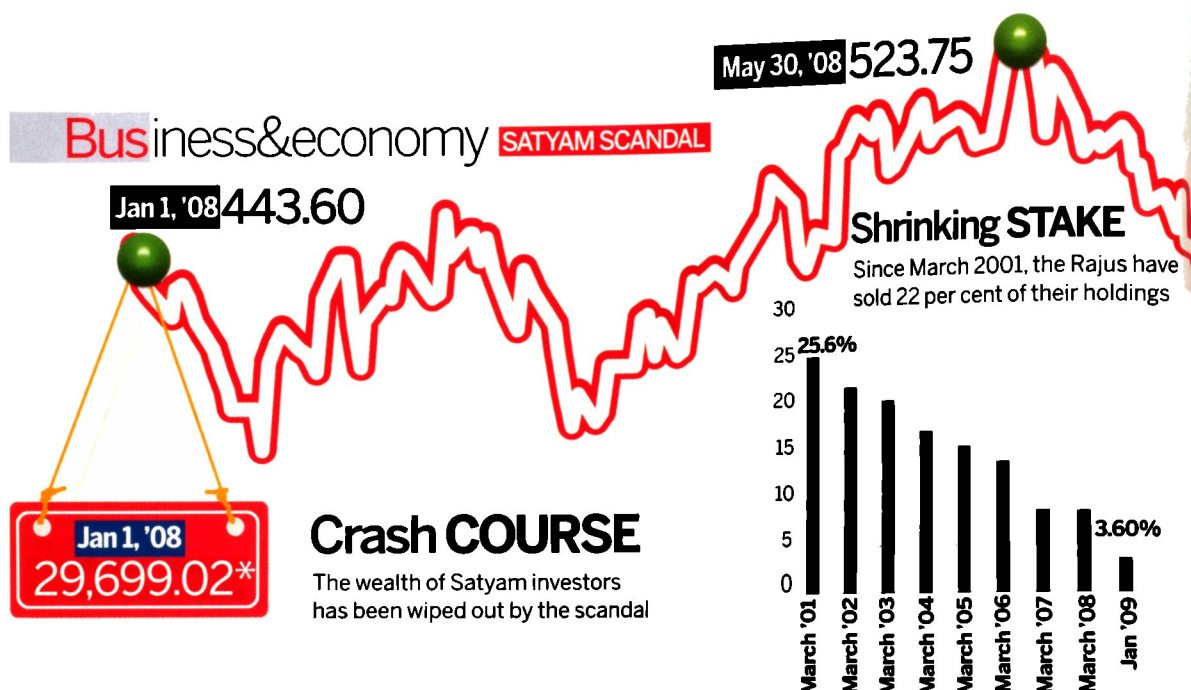




“This is deplorable. Government and SEBI must probe to ensure this does not happen again.”

NANDAN NILEKANI, Co-Chairman, Infosys Technologies

He says rather melodramatically that “it was like riding a tiger, not knowing how to get off without being eaten. Once Satyam’s problems were solved, it was hoped that Maytas payments can be delayed. But that was not to be.” Raju couldn’t have been the lone author of the scam but he insists he was alone. In his explanatory letter to the directors, Raju claimed that only he and his brother B. Rama Raju, the managing director, were privy to what was done. Although the drop in his shareholding from 25.6 per cent in 2001 to 3.6 per cent in January 2009 has triggered speculation, he contends that neither he nor his brother benefited financially from the fraud. The company board which included heavy weights such as Harvard Professor Krishna Palepu, former cabinet secretary T.R. Prasad, ISB Dean M. Rammohan Rao and Vinod Dham was clearly in the dark about the fraud being perpetuated by Raju.

Nasscom, which expressed shock and disbelief, has pleaded that Satyam should be treated as an aberration. But clearly the tremors will rock the valuations and future plans of many IT companies. Those with minor shareholdings of less than 10 per cent are liable to face the music. Foreign investors who are considering class action suits will view the picture painted by Indian IT companies—showcased as model enterprises—with much more scepticism. Analysts, entrepreneurs and chartered accountants are astounded at the brazenness of the scam. Also the method-

ology. “Raju has overstated assets and understated liabilities, which means that the auditors were negligent or connived with the promoters,” says Ved Jain, president, Institute of Chartered Accountants of India (ICAI).

Raju claims that in the last two years a net amount of Rs 1,230 crore was arranged to Satyam which was not reflected in its books to keep operations going through pledging of shares. It is baffling as to how such a huge sum could be given to a company and yet kept off its books. Just as baffling is how Raju managed to show cash and bank balances of Rs 5,040 crore which were nonexistent. Many wonder whether it is only an accounting fraud or the cooking was meant to cover up siphoning of cash.

Ironically, Raju’s confessions come just three months after Satyam received the prestigious Golden Peacock Global Award for Excellence in Corporate Governance from the World Council for Corporate Governance in London. Every filter to ensure due diligence failed. The internal auditors failed, the external auditors—Price-waterhouseCoopers, no less—gave the company a clean chit, and independent directors on the audit committee

Glorious RECORD

Satyam won many awards this year for governance

UK Trade & Investment India Business Award for corporate social responsibility

Golden Peacock Global Award for Excellence in Corporate Governance from World Council for Corporate Governance

Best investors relations website in Asia Pacific & Africa region from MZ Consult

Asian MAKE (Most Admired Knowledge Enterprise) Award from Teleos, in association with KNOW Network